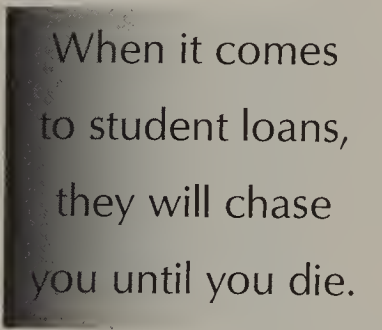


Graduation Day

You tossed your cap and are a college graduate. Depending upon your loan, in six months or nine months, you have to start paying back your student loans. You will get a letter with the date and the amount of your repayment. As you probably know, student loans are with you until you pay them off or death do you part. There is no escape clause. Bankruptcy does not wash away the student loan debt.



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But what if you fall on tough times and can't repay the student loan? For starters, if you don't pay your student loans, the IRS can withhold your tax refunds. Your wages can get garnished. And if you are thinking about becoming a homeowner down the road, you won't be able to apply for a federal home loan through VA or FHA.

Rehabilitation Programs

When it comes to student loans, they will chase you until you die. However, it is a little known fact that your loan can be discharged in the event of a permanent disability. That is not how we want to get out of paying our loans.

Suppose for whatever reason, you defaulted on your student loan and now the collection hounds are after you. They will say, "Give us the money now. We want the entire balance. Pay it off in full to me." The guy works on commission and he wants to make a big profit on you.

You say, "I can't." There is a federal rehabilitation program available that you should use instead of paying it off in a lump sum. The terms are quite simple. If you have a federally backed loan, this is the route to take.

You make payments for the agreed amount, say \$100, each month for twelve months. You can never be late or short during this rehab time. You have to actually make the payments too, not have them garnished from your salary. Once you have fulfilled this trial period, your loan will be returned to the regular student loan servicing center, and the